



## Cambridge IGCSE™

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**ACCOUNTING**

**0452/21**

Paper 2

**October/November 2021**

**MARK SCHEME**

Maximum Mark: 100

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**Published**

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks. It does not indicate the details of the discussions that took place at an Examiners' meeting before marking began, which would have considered the acceptability of alternative answers.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2021 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

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This document consists of **17** printed pages.

**PUBLISHED****Generic Marking Principles**

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptors for a question. Each question paper and mark scheme will also comply with these marking principles.

**GENERIC MARKING PRINCIPLE 1:**

Marks must be awarded in line with:

- the specific content of the mark scheme or the generic level descriptors for the question
- the specific skills defined in the mark scheme or in the generic level descriptors for the question
- the standard of response required by a candidate as exemplified by the standardisation scripts.

**GENERIC MARKING PRINCIPLE 2:**

Marks awarded are always **whole marks** (not half marks, or other fractions).

**GENERIC MARKING PRINCIPLE 3:**

Marks must be awarded **positively**:

- marks are awarded for correct/valid answers, as defined in the mark scheme. However, credit is given for valid answers which go beyond the scope of the syllabus and mark scheme, referring to your Team Leader as appropriate
- marks are awarded when candidates clearly demonstrate what they know and can do
- marks are not deducted for errors
- marks are not deducted for omissions
- answers should only be judged on the quality of spelling, punctuation and grammar when these features are specifically assessed by the question as indicated by the mark scheme. The meaning, however, should be unambiguous.

**GENERIC MARKING PRINCIPLE 4:**

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

**GENERIC MARKING PRINCIPLE 5:**

Marks should be awarded using the full range of marks defined in the mark scheme for the question (however; the use of the full mark range may be limited according to the quality of the candidate responses seen).

**GENERIC MARKING PRINCIPLE 6:**

Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind.

**PUBLISHED****Social Science-Specific Marking Principles  
(for point-based marking)****1 Components using point-based marking:**

- Point marking is often used to reward knowledge, understanding and application of skills. We give credit where the candidate's answer shows relevant knowledge, understanding and application of skills in answering the question. We do not give credit where the answer shows confusion.

From this it follows that we:

- a** DO credit answers which are worded differently from the mark scheme if they clearly convey the same meaning (unless the mark scheme requires a specific term)
- b** DO credit alternative answers/examples which are not written in the mark scheme if they are correct
- c** DO credit answers where candidates give more than one correct answer in one prompt/numbered/scaffolded space where extended writing is required rather than list-type answers. For example, questions that require *n* reasons (e.g. State two reasons ...).
- d** DO NOT credit answers simply for using a 'key term' unless that is all that is required. (Check for evidence it is understood and not used wrongly.)
- e** DO NOT credit answers which are obviously self-contradicting or trying to cover all possibilities
- f** DO NOT give further credit for what is effectively repetition of a correct point already credited unless the language itself is being tested. This applies equally to 'mirror statements' (i.e. polluted/not polluted).
- g** DO NOT require spellings to be correct, unless this is part of the test. However spellings of syllabus terms must allow for clear and unambiguous separation from other syllabus terms with which they may be confused (e.g. Corrasion/Corrosion)

**2 Presentation of mark scheme:**

- Slashes (/) or the word 'or' separate alternative ways of making the same point.
- Semi colons (;) bullet points (•) or figures in brackets (1) separate different points.
- Content in the answer column in brackets is for examiner information/context to clarify the marking but is not required to earn the mark (except Accounting syllabuses where they indicate negative numbers).

**3 Calculation questions:**

- The mark scheme will show the steps in the most likely correct method(s), the mark for each step, the correct answer(s) and the mark for each answer
- If working/explanation is considered essential for full credit, this will be indicated in the question paper and in the mark scheme. In all other instances, the correct answer to a calculation should be given full credit, even if no supporting working is shown.
- Where the candidate uses a valid method which is not covered by the mark scheme, award equivalent marks for reaching equivalent stages.
- Where an answer makes use of a candidate's own incorrect figure from previous working, the 'own figure rule' applies: full marks will be given if a correct and complete method is used. Further guidance will be included in the mark scheme where necessary and any exceptions to this general principle will be noted.

**4 Annotation:**

- For point marking, ticks can be used to indicate correct answers and crosses can be used to indicate wrong answers. There is no direct relationship between ticks and marks. Ticks have no defined meaning for levels of response marking.
- For levels of response marking, the level awarded should be annotated on the script.
- Other annotations will be used by examiners as agreed during standardisation, and the meaning will be understood by all examiners who marked that paper.

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      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|       |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Marks    |
|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 1(d)     | <p>Inventory should be valued at the lower of cost and net realisable value <b>(1)</b></p> <p>Cost of sales would be understated <b>(1)</b></p> <p>The profit will be overstated/profit will not be shown at a realistic level <b>(1)</b></p> <p>The current assets/inventory will be overstated <b>(1)</b></p> <p>Prudence principle is not being observed <b>(1)</b></p> <p>Consistency principle is not being observed <b>(1)</b></p> <p>Comparison with previous years/competitors would not be accurate <b>(1)</b></p> <p>Accounting records must present a realistic view of the business <b>(1)</b></p> <p><b>Accept other valid points</b></p> <p><b>Max (5)</b></p> | <b>5</b> |

| Question                                        | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Marks               |                     |                     |                                     |   |  |                        |  |              |                                                 |              |  |                               |              |  |                        |  |              |          |
|-------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|---------------------|---------------------|-------------------------------------|---|--|------------------------|--|--------------|-------------------------------------------------|--------------|--|-------------------------------|--------------|--|------------------------|--|--------------|----------|
| 2(a)                                            | <table border="1"> <thead> <tr> <th></th><th>Capital expenditure</th><th>Revenue expenditure</th></tr> </thead> <tbody> <tr> <td>Building new extension to warehouse</td><td>✓</td><td></td></tr> <tr> <td>Rates on new extension</td><td></td><td>✓ <b>(1)</b></td></tr> <tr> <td>Carriage costs for roof tiles for new extension</td><td>✓ <b>(1)</b></td><td></td></tr> <tr> <td>Legal costs for new extension</td><td>✓ <b>(1)</b></td><td></td></tr> <tr> <td>Repairs to office roof</td><td></td><td>✓ <b>(1)</b></td></tr> </tbody> </table> |                     | Capital expenditure | Revenue expenditure | Building new extension to warehouse | ✓ |  | Rates on new extension |  | ✓ <b>(1)</b> | Carriage costs for roof tiles for new extension | ✓ <b>(1)</b> |  | Legal costs for new extension | ✓ <b>(1)</b> |  | Repairs to office roof |  | ✓ <b>(1)</b> | <b>4</b> |
|                                                 | Capital expenditure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Revenue expenditure |                     |                     |                                     |   |  |                        |  |              |                                                 |              |  |                               |              |  |                        |  |              |          |
| Building new extension to warehouse             | ✓                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                     |                     |                     |                                     |   |  |                        |  |              |                                                 |              |  |                               |              |  |                        |  |              |          |
| Rates on new extension                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | ✓ <b>(1)</b>        |                     |                     |                                     |   |  |                        |  |              |                                                 |              |  |                               |              |  |                        |  |              |          |
| Carriage costs for roof tiles for new extension | ✓ <b>(1)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                     |                     |                     |                                     |   |  |                        |  |              |                                                 |              |  |                               |              |  |                        |  |              |          |
| Legal costs for new extension                   | ✓ <b>(1)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                     |                     |                     |                                     |   |  |                        |  |              |                                                 |              |  |                               |              |  |                        |  |              |          |
| Repairs to office roof                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | ✓ <b>(1)</b>        |                     |                     |                                     |   |  |                        |  |              |                                                 |              |  |                               |              |  |                        |  |              |          |

| Question | Answer                                               |                                                                            |     | Marks |
|----------|------------------------------------------------------|----------------------------------------------------------------------------|-----|-------|
| 2(b)     | Rent warehouse                                       | Purchase warehouse                                                         |     | 5     |
|          | No initial outlay <b>OR</b>                          | Has to raise an additional \$200 000 in order to purchase                  | (1) |       |
|          | Little or no maintenance/repair cost <b>OR</b>       | Will be maintenance/repair costs/depreciation                              | (1) |       |
|          | The non-current asset is not owned <b>OR</b>         | Will own an additional non-current asset/gets fixed asset/owns a warehouse | (1) |       |
|          |                                                      | Loan must be repaid                                                        | (1) |       |
|          |                                                      | Will have to pay loan interest                                             | (1) |       |
|          |                                                      | Warehouse may not be required if trade decreases in future                 | (1) |       |
|          | Premises may not be available on a long term basis   |                                                                            | (1) |       |
|          | Rent may increase after 6 months                     |                                                                            | (1) |       |
|          | Can vacate the premises after 6 months (is flexible) |                                                                            |     |       |
|          | <b>Max (2)</b>                                       | <b>Max (2)</b>                                                             |     |       |
|          | <b>Accept other valid points</b>                     |                                                                            |     |       |
|          | <b>Recommendation (1)</b>                            |                                                                            |     |       |



| Question                                       | Answer                           |                                                     |                                           |                                                      |                                                                                                                 |                                                             | Marks |
|------------------------------------------------|----------------------------------|-----------------------------------------------------|-------------------------------------------|------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------|-------|
| 2(c)                                           | Jas<br>Fixtures account          |                                                     |                                           |                                                      |                                                                                                                 |                                                             | 8     |
|                                                |                                  |                                                     |                                           |                                                      |                                                                                                                 |                                                             |       |
|                                                | Date<br>2020<br>Jan 1            | Details<br><br>Balance b/d<br>Bank                  | \$<br><br>115 000<br>30 000<br>145 000    | Date<br>2020<br>Jun 30<br>31                         | Details<br><br>Fixtures disposal (1)<br>Balance c/d                                                             | \$<br><br>20 000<br>125 000<br>145 000                      |       |
|                                                | 2021<br>Jan 1                    | Balance b/d (1)                                     | 125 000                                   |                                                      |                                                                                                                 |                                                             |       |
|                                                |                                  |                                                     |                                           |                                                      |                                                                                                                 |                                                             |       |
| Provision for depreciation of fixtures account |                                  |                                                     |                                           |                                                      |                                                                                                                 |                                                             |       |
|                                                | Date<br>2020<br>Jun 30<br>Dec 31 | Details<br><br>Fixtures disposal (1)<br>Balance c/d | \$<br><br>11 250<br>96 750<br><br>108 000 | Date<br>2020<br>Jan 1<br>Dec 31<br><br>2021<br>Jan 1 | Details<br><br>Balance b/d<br>Income statement<br>21 375 (1)<br>2 250 (1)<br>6 750 (1)<br><br>Balance b/d (1)OF | \$<br><br>77 625<br><br><br>30 375<br>108 000<br><br>96 750 |       |

| Question | Answer                           |                         |                  |                        |                                                 |                           | Marks |
|----------|----------------------------------|-------------------------|------------------|------------------------|-------------------------------------------------|---------------------------|-------|
| 2(d)     | Jas<br>Fixtures disposal account |                         |                  |                        |                                                 |                           | 3     |
|          |                                  |                         |                  |                        |                                                 |                           |       |
|          | Date<br>2020<br>Jun 30           | Details<br><br>Fixtures | \$<br><br>20 000 | Date<br>2020<br>Jun 30 | Details<br><br>Prov. for Dep. (1)OF<br>Bank (1) | \$<br><br>11 250<br>6 000 |       |
|          |                                  |                         |                  | Dec 31                 | Income<br>statement (1)OF                       | <u>2 750</u>              |       |
|          |                                  |                         | <u>20 000</u>    |                        |                                                 | <u>20 000</u>             |       |

| Question      | Answer                   |                   |             |              |            | Marks |
|---------------|--------------------------|-------------------|-------------|--------------|------------|-------|
| 3(a)          | Anil<br>Journal          |                   |             |              |            | 12    |
|               | Error                    | Details           | Debit<br>\$ | Credit<br>\$ |            |       |
|               | 1                        | Suspense<br>Sales | 7100        | 7100         | (1)<br>(1) |       |
|               | 2                        | Sales returns     | 520         | 1040         | (1)        |       |
|               |                          | Purchases         | 520         |              | (1)        |       |
|               |                          | Suspense          |             |              | (2)        |       |
|               |                          | OR                |             |              |            |       |
| Sales returns |                          | 520               |             | (1)          |            |       |
| Suspense      |                          | 520               | (1)         |              |            |       |
| Purchases     | 520                      |                   | (1)         |              |            |       |
| Suspense      |                          | 520               | (1)         |              |            |       |
| 3             | Bank charges<br>Suspense | 320               | 320         | (1)<br>(1)   |            |       |
| 4             | Bank                     | 1200              |             | (2)          |            |       |
|               | Suspense                 |                   | 600         | (1)          |            |       |
|               | Insurance                |                   | 600         | (1)          |            |       |
|               | OR                       |                   |             |              |            |       |
|               | Bank                     | 1200              |             | (1)          |            |       |
|               | Suspense                 |                   | 1200        | (1)          |            |       |
|               | Suspense                 | 600               |             | (1)          |            |       |
| Insurance     |                          | 600               | (1)         |              |            |       |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Marks |         |                             |      |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|---------|-----------------------------|------|---------|----|--|-----------|------|--|-----------------------------|------|--|--|--|--|-------------------|-----|--|--|--|--|---------------|-----|--|--|--|--|------------------|-----|--|--|--|--|----------|-----|--|--|------|--|--|------|------|---------|----|------|---------|----|--|-----------|------|--|-----------------------------|------|--|---------------|-----|--|-------------------|-----|--|--|--|--|---------------|-----|--|--|--|--|------------------|-----|--|--|--|--|----------|------|--|--|------|--|--|------|---|
| 3(b)     | <div>Anil<br/>Suspense account</div> <table><tr><th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr><tr><td></td><td>Sales (1)</td><td>7100</td><td></td><td>Difference on trial balance</td><td>5140</td></tr><tr><td></td><td></td><td></td><td></td><td>Sales returns (1)</td><td>520</td></tr><tr><td></td><td></td><td></td><td></td><td>Purchases (1)</td><td>520</td></tr><tr><td></td><td></td><td></td><td></td><td>Bank charges (1)</td><td>320</td></tr><tr><td></td><td></td><td></td><td></td><td>Bank (1)</td><td>600</td></tr><tr><td></td><td></td><td>7100</td><td></td><td></td><td>7100</td></tr></table> <div>+(1) for matching totals OR for an own figure balance brought down</div> <div>Alternative presentation if used alternative journal entry for error 4 in 3(a)</div> <table><tr><th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr><tr><td></td><td>Sales (1)</td><td>7100</td><td></td><td>Difference on trial balance</td><td>5140</td></tr><tr><td></td><td>Insurance (1)</td><td>600</td><td></td><td>Sales returns (1)</td><td>520</td></tr><tr><td></td><td></td><td></td><td></td><td>Purchases (1)</td><td>520</td></tr><tr><td></td><td></td><td></td><td></td><td>Bank charges (1)</td><td>320</td></tr><tr><td></td><td></td><td></td><td></td><td>Bank (1)</td><td>1200</td></tr><tr><td></td><td></td><td>7700</td><td></td><td></td><td>7700</td></tr></table> | Date  | Details | \$                          | Date | Details | \$ |  | Sales (1) | 7100 |  | Difference on trial balance | 5140 |  |  |  |  | Sales returns (1) | 520 |  |  |  |  | Purchases (1) | 520 |  |  |  |  | Bank charges (1) | 320 |  |  |  |  | Bank (1) | 600 |  |  | 7100 |  |  | 7100 | Date | Details | \$ | Date | Details | \$ |  | Sales (1) | 7100 |  | Difference on trial balance | 5140 |  | Insurance (1) | 600 |  | Sales returns (1) | 520 |  |  |  |  | Purchases (1) | 520 |  |  |  |  | Bank charges (1) | 320 |  |  |  |  | Bank (1) | 1200 |  |  | 7700 |  |  | 7700 | 6 |
| Date     | Details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | \$    | Date    | Details                     | \$   |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          | Sales (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 7100  |         | Difference on trial balance | 5140 |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |       |         | Sales returns (1)           | 520  |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |       |         | Purchases (1)               | 520  |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |       |         | Bank charges (1)            | 320  |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |       |         | Bank (1)                    | 600  |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 7100  |         |                             | 7100 |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
| Date     | Details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | \$    | Date    | Details                     | \$   |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          | Sales (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 7100  |         | Difference on trial balance | 5140 |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          | Insurance (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 600   |         | Sales returns (1)           | 520  |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |       |         | Purchases (1)               | 520  |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |       |         | Bank charges (1)            | 320  |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |       |         | Bank (1)                    | 1200 |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 7700  |         |                             | 7700 |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |
| 3(c)     | Commission, compensating, complete reversal, omission, original entry, principle<br><br>Any 2 × 1 mark                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 2     |         |                             |      |         |    |  |           |      |  |                             |      |  |  |  |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |     |  |  |      |  |  |      |      |         |    |      |         |    |  |           |      |  |                             |      |  |               |     |  |                   |     |  |  |  |  |               |     |  |  |  |  |                  |     |  |  |  |  |          |      |  |  |      |  |  |      |   |

| Question | Answer                                                                |                                                                   |                                                       |                                                                      |                                                                  |                                                                       | Marks |                                                             |                                                                     |
|----------|-----------------------------------------------------------------------|-------------------------------------------------------------------|-------------------------------------------------------|----------------------------------------------------------------------|------------------------------------------------------------------|-----------------------------------------------------------------------|-------|-------------------------------------------------------------|---------------------------------------------------------------------|
| 4(a)     | Karishma Insurance account                                            |                                                                   |                                                       |                                                                      |                                                                  |                                                                       | 10    |                                                             |                                                                     |
|          | Date<br>2020<br>Oct 1<br>2021<br>Feb 7<br>Aug 13<br><br>2021<br>Oct 1 | Details<br><br>Balance b/d<br><br>Bank<br>Bank<br><br>Balance b/d | (1)<br><br><br>)<br>) <b>(1)</b><br><br><b>(1)</b>    | \$<br><br>1700<br><br>3400<br><u>3500</u><br><u>8600</u><br><br>2100 | Date<br>2021<br>Feb 28<br>Sep 30<br><br><br><br>2021<br>Oct 1    | Details<br><br>Bank<br>Income statement<br><br>Balance c/d            |       | (1)<br><br><b>(1)OF</b><br><br><br><br><b>(1)</b>           | \$<br><br>300<br><br>6200<br><u>2100</u><br><u>8600</u><br><br>2000 |
|          | Electricity account                                                   |                                                                   |                                                       |                                                                      |                                                                  |                                                                       |       |                                                             |                                                                     |
|          | Date<br>2020<br>Oct 14<br>2021<br>Jan 24<br>May 26<br>Sep 30          | Details<br><br>Bank<br><br>Bank<br>Bank<br>Balance c/d            | <br><br>)<br>)<br>) <b>(1)</b><br>)<br><br><b>(1)</b> | \$<br><br>1800<br><br>1800<br>1800<br><u>2000</u><br><u>7400</u>     | Date<br>2020<br>Oct 1<br>2021<br>Sep 30<br><br><br>2021<br>Oct 1 | Details<br><br>Balance b/d<br><br>Income statement<br><br>Balance b/d |       | (1)<br><br><b>(1)</b><br><br><b>(1)OF</b><br><br><b>(1)</b> | \$<br><br>1800<br><br>5600<br><u>7400</u><br><br>2000               |
|          | Dates (1)                                                             |                                                                   |                                                       |                                                                      |                                                                  |                                                                       |       |                                                             |                                                                     |

| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Marks    |
|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 4(b)     | <p><b>Advantages</b></p> <p>Fixed monthly payment <b>(1)</b></p> <p>Payments would be made automatically <b>(1)</b></p> <p>More difficult to fall behind with payments <b>(1)</b></p> <p>Cheaper than existing contract <b>(1)</b></p> <p>Helps with planning expenditure <b>(1)</b></p> <p><b>Accept other valid points</b></p> <p><b>Max (2)</b></p> <p><b>Disadvantages</b></p> <p>Would lose control of her payment schedule/ would not be able to pick and choose when to make the payments <b>(1)</b></p> <p>Bank charges might increase <b>(1)</b></p> <p>Tied to two-year contract <b>(1)</b></p> <p>Need to consider reliability of new supplier <b>(1)</b></p> <p>Possible price increase after two years <b>(1)</b></p> <p><b>Accept other valid points</b></p> <p><b>Max (2)</b></p> <p><b>Recommendation (1)</b></p> | <b>5</b> |

| Question | Answer                              |                                          |                                      |                                                                      |                                                            |                                                              | Marks |
|----------|-------------------------------------|------------------------------------------|--------------------------------------|----------------------------------------------------------------------|------------------------------------------------------------|--------------------------------------------------------------|-------|
| 4(c)     | Karishma<br>Rent receivable account |                                          |                                      |                                                                      |                                                            |                                                              | 4     |
|          | Date<br>2021<br>Sep 30              | Income<br>statement (1)OF<br>Balance c/d | \$<br><br>1965<br>510<br><u>2475</u> | Date<br>2020<br>Oct 1<br>2021<br>Mar 2<br>Aug 8<br><br>2021<br>Oct 1 | Bank<br>} }<br>Bank } (1)<br>Bank }<br><br>Balance b/d (1) | \$<br><br>800<br>825<br><u>850</u><br><u>2475</u><br><br>510 |       |
|          | Dates (1)                           |                                          |                                      |                                                                      |                                                            |                                                              |       |
| 4(d)     | Current liabilities                 |                                          |                                      |                                                                      |                                                            |                                                              | 1     |

| Question                   | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Marks                    |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
|----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------|------------------------|---------------|---------|----|---------------|-----------------|--------------|----------------------|-----------------|-------|----------------|------------------------------|-----------|---------------------------|----------|--------|-------|--------------|----------------|--|------------------------|--------|-------------|--|---------------|------------------|-------------|------------|----------------------------|--------|--|--------------------|--------|---------------|---------------------------|--|--|----------------------------|------------------|---------------|----------------------|-----------------|--------------------------|-------|-----------------|-----|---|
| 5(a)                       | <div>VL Sports Club<br/>Subscriptions account</div> <table><tr><td>Date<br/>2020</td><td>Details</td><td>\$</td><td>Date<br/>2020</td><td>Details</td><td>\$</td></tr><tr><td>Jan 1</td><td>Balance b/d (1)</td><td>700</td><td>Jan 1</td><td>Balance b/d (1)</td><td>1 100</td></tr><tr><td>Dec 31</td><td>Income and expenditure (1)OF</td><td>19 080</td><td>Dec 31</td><td>Bank (1)</td><td>19 200</td></tr><tr><td></td><td>Balance c/d</td><td><u>900</u></td><td></td><td>Irrecoverable debts(1)</td><td>80</td></tr><tr><td></td><td></td><td><u>20 680</u></td><td></td><td>Balance c/d</td><td><u>300</u></td></tr><tr><td></td><td></td><td></td><td></td><td></td><td><u>20 680</u></td></tr><tr><td>2021</td><td></td><td></td><td>2021</td><td></td><td></td></tr><tr><td>Jan 1</td><td>Balance b/d (1)</td><td>300</td><td>Jan 1</td><td>Balance b/d (1)</td><td>900</td></tr></table> <div>Dates (1)</div>                                                                                                                                    | Date<br>2020             | Details      | \$                     | Date<br>2020  | Details | \$ | Jan 1         | Balance b/d (1) | 700          | Jan 1                | Balance b/d (1) | 1 100 | Dec 31         | Income and expenditure (1)OF | 19 080    | Dec 31                    | Bank (1) | 19 200 |       | Balance c/d  | <u>900</u>     |  | Irrecoverable debts(1) | 80     |             |  | <u>20 680</u> |                  | Balance c/d | <u>300</u> |                            |        |  |                    |        | <u>20 680</u> | 2021                      |  |  | 2021                       |                  |               | Jan 1                | Balance b/d (1) | 300                      | Jan 1 | Balance b/d (1) | 900 | 8 |
| Date<br>2020               | Details                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | \$                       | Date<br>2020 | Details                | \$            |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Jan 1                      | Balance b/d (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 700                      | Jan 1        | Balance b/d (1)        | 1 100         |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Dec 31                     | Income and expenditure (1)OF                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 19 080                   | Dec 31       | Bank (1)               | 19 200        |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
|                            | Balance c/d                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <u>900</u>               |              | Irrecoverable debts(1) | 80            |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
|                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <u>20 680</u>            |              | Balance c/d            | <u>300</u>    |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
|                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                          |              |                        | <u>20 680</u> |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| 2021                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                          | 2021         |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Jan 1                      | Balance b/d (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 300                      | Jan 1        | Balance b/d (1)        | 900           |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| 5(b)                       | <div>VL Sports Club<br/>Income and Expenditure Account for the year ended 31 December 2020</div> <table><tr><td></td><td>\$</td><td>\$</td></tr><tr><td>Income</td><td></td><td></td></tr><tr><td>Subscriptions</td><td></td><td>19 080 (1)OF</td></tr><tr><td>Competition receipts</td><td>7 300</td><td></td></tr><tr><td>cost of prizes</td><td><u>4 100</u></td><td>3 200 (1)</td></tr><tr><td>Dinner dance ticket sales</td><td>6 500</td><td></td></tr><tr><td>costs</td><td><u>6 200</u></td><td><u>300 (1)</u></td></tr><tr><td></td><td></td><td>22 580</td></tr><tr><td>Expenditure</td><td></td><td></td></tr><tr><td>General expenses</td><td></td><td></td></tr><tr><td>(11 500 – 400(1) + 500(1))</td><td>11 600</td><td></td></tr><tr><td>Irrecoverable debt</td><td>80 (1)</td><td></td></tr><tr><td>Depreciation of equipment</td><td></td><td></td></tr><tr><td>(23 000 + 12 000 – 30 000)</td><td><u>5 000 (1)</u></td><td><u>16 680</u></td></tr><tr><td>Surplus for the year</td><td></td><td><u>5 900 (2)CF/(1)OF</u></td></tr></table> |                          | \$           | \$                     | Income        |         |    | Subscriptions |                 | 19 080 (1)OF | Competition receipts | 7 300           |       | cost of prizes | <u>4 100</u>                 | 3 200 (1) | Dinner dance ticket sales | 6 500    |        | costs | <u>6 200</u> | <u>300 (1)</u> |  |                        | 22 580 | Expenditure |  |               | General expenses |             |            | (11 500 – 400(1) + 500(1)) | 11 600 |  | Irrecoverable debt | 80 (1) |               | Depreciation of equipment |  |  | (23 000 + 12 000 – 30 000) | <u>5 000 (1)</u> | <u>16 680</u> | Surplus for the year |                 | <u>5 900 (2)CF/(1)OF</u> | 9     |                 |     |   |
|                            | \$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | \$                       |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Income                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                          |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Subscriptions              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 19 080 (1)OF             |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Competition receipts       | 7 300                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                          |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| cost of prizes             | <u>4 100</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 3 200 (1)                |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Dinner dance ticket sales  | 6 500                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                          |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| costs                      | <u>6 200</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <u>300 (1)</u>           |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
|                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 22 580                   |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Expenditure                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                          |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| General expenses           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                          |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| (11 500 – 400(1) + 500(1)) | 11 600                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                          |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Irrecoverable debt         | 80 (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                          |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Depreciation of equipment  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                          |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| (23 000 + 12 000 – 30 000) | <u>5 000 (1)</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | <u>16 680</u>            |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |
| Surplus for the year       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <u>5 900 (2)CF/(1)OF</u> |              |                        |               |         |    |               |                 |              |                      |                 |       |                |                              |           |                           |          |        |       |              |                |  |                        |        |             |  |               |                  |             |            |                            |        |  |                    |        |               |                           |  |  |                            |                  |               |                      |                 |                          |       |                 |     |   |



| Question | Answer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Marks    |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 5(c)     | <p><b>Advantages</b><br/>Cash received earlier <b>(1)</b><br/>Reduced risk of irrecoverable subscriptions/reduced risk of subscriptions in arrears <b>(1)</b><br/>Reduction in administration costs <b>(1)</b><br/>May encourage new members to join <b>(1)</b><br/><b>Accept other valid points</b><br/><b>Max (1)</b></p> <p><b>Disadvantages</b><br/>Less cash received <b>(1)</b><br/>Possible reduction in membership <b>(1)</b><br/>Difficulty of monitoring varying subscription rates <b>(1)</b><br/>Reduces the surplus for the year <b>(1)</b><br/><b>Accept other valid points</b><br/><b>Max (1)</b></p> <p><b>Recommendation (1)</b></p> | <b>3</b> |